Statement of Advice

Mr Stuart Brown and Mrs Margo Brown
of

44 Twyford Street
Williamstown VIC 3016

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Prepared by

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FPA PRINCIPAL MEMBER

26th March 2010

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

26 March 2010

Mr Stuart Brown and Mrs Margo Brown
44 Twyford Street
Williamstown VIC 3016

Dear Stuart and Margo,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No.324798 of
Guardianfp Ltd trading as Guardian Financial Planning

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today’s dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can’t predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are “p.a.” (per annum) unless otherwise stated or implied.

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Some of the products and services we may deal in and advise on your behalf are provided by other Suncorp companies. These companies are listed in the section headed ‘Who owns Guardian Financial Planning’ in the copy of the Financial Services Guide we gave you. This document also outlines who your Authorised Representative is and their contact details in the section headed ‘Before you get advice – Who is my adviser?’ Please ask if you’d like another copy free of charge.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Guardian Financial Planning’s “Approved Product List”. This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, commissions, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

Your instructions to us have not placed any limitations on the extent of our advice. You wish for us to review your entire financial position.

In this statement of advice, the main focus is on:

- Wealth creation strategies.
- Cash flow management.
- Tax effective investing.
- Superannuation.
- Estate Planning.
- Risk Management.

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9510 0788.

Andrew Lord is authorised to represent Guardianfp Limited. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact our Compliance Officer on 1800 687 620.

The Planning Process

Stuart and Margo, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Focus on wealth accumulation strategies that will help you achieve your capital requirements and lifestyle goals.
- Review your existing portfolio both within and outside of superannuation.
- Direct surplus cash flow to wealth accumulation.
- Invest in a tax effective investment portfolio that has a focus on growth over the long term.
- Reduce non-tax effective debt as fast as possible.
- Minimise your tax commitments.
- Determine the most appropriate use of the inheritance funds currently held in the U.K.
- Ensure you have appropriate risk management strategies in place.
- Ensure you have appropriate estate planning strategies in place.

Recommendation Overview

Considering your stated goals and objectives, investor risk profile and age we recommend that you:

- Utilise some of the unused equity in your home to accumulate wealth.
- Focus on repayment of non-deductible debt (mortgage and any other personal non-deductible debt) as quickly as possible.
- Upon completion of the construction of your residential property, set up a loan facility of up to 80% of its value.
- Stuart, draw down **$100,000** to invest in a managed fund investment.
- Invest your funds in a diverse mix of funds that are in line with your *Growth* investor risk profile.
- Stuart, redeem your existing Aviva investment and use the proceeds to reduce your non-deductible debt.
- Stuart, rollover and consolidate your existing MLC and Telstra superannuation funds into the recommended wholesale platform.
- Margo, retain your existing Uni Super and Plum Super Funds.
- Margo, make a non-concessional contribution to your superannuation of $521 this financial year.

- Review your risk management program with our Risk Consultant, Mark Butler, in order to protect your family in the event of becoming ill or injured.
- Review your estate planning needs with Lakeside Legal Pty Ltd in order to ensure that your estate is distributed to your beneficiaries in a correct and tax effective manner.

Anticipated Outcomes

Following our recommendations, we anticipate that:

- Your combined surplus cash flow is estimated to reduce by $8,068 to $16,903 per annum.
- You have increased your market exposure by **$100,000** and further diversified your investment portfolio in **Australian and International Equities and Property Securities.**
- **Stuart, your income tax liability is estimated to be reduced by $7,012 per annum.**
- You will have reduced your level of non deductible debt.
- Your capital is invested inside and outside of the superannuation environment consistent with both your *Growth* investor risk profiles.
- Margo, you should be entitled to the government co-contribution benefit of $521 in this financial year. In future financial years this should not change, provided the co-contribution is still offered and your circumstances do not change dramatically.
- You have protected yourself and family against unforeseen events with appropriate insurance cover.
- You will have appropriate Wills and Powers of Attorney.

Future Strategies

- To annually review superannuation contributions, investment performance and cash flow requirements. We should aim to meet in March/April each year to review.
- Closer to retirement we should provide you with recommendations and advice relating to the retirement stage of your financial plan.
- An annual review of your investment portfolio is recommended. You should aim to gradually increase your investment exposure each year and we should help you achieve this aim.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

	Stuart	Margo
Title	Mr	Mrs
First Name	Stuart	Margo
Surname	Brown	Brown
Gender	M	F
Date of Birth	13/07/1964	18/10/1963
Age Last Birthday	45	46
Marital Status	Married	Married

Health Details

Health Status	Good	Good
Smoking Status	No	No

Employment Details

Employment Status	Full Time Employee	Permanent Part Time
Occupation	Accountant/Manager	Relocation Adviser
Employer	Gartner	Melbourne University
Proposed Retirement Age	65	65

Dependants

Name	Date of Birth	Dependency To Age
Oliver	27.9.98	25
Leo	8.5.08	25

Estate Planning

	Stuart	Margo
Do you have a Current Will?	Yes	Yes
Date Last Reviewed	2002	2002
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$1,270,000
Home Contents	$55,000
Motor Vehicles	$25,000
Total Lifestyle Assets	**$1,350,000**

Investment Assets	
Shares	$43,000
Managed Funds	$12,000
Cash	$132,000
Total Investment Assets	**$187,000**

Superannuation Assets	
Stuart	
Telstra Super	$83,618
MLC	$54,123
Margo	
UniSuper (Accumulation)	$8,952
UniSuper (Defined Benefit)	$1,043
Plum Super	$40,620
Total Superannuation Assets	**$188,356**

Total ASSETS	**$1,725,356**

LIABILITIES

Personal Loans	
Residential Home	$705,000
Total Personal Loans	**$705,000**

Total LIABILITIES	**$705,000**

NET WORTH	**$1,020,356**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The ‘Total’ column indicates the value of assets and liabilities which are owned by the client and partner. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Current Risk Management Policies

Life Insured: Mr Stuart Brown

Product: Underwriter	Policy Owner	Death	TPD	Trauma	Income Protection Per month	Annual Premium
MLC	Super	$620,920	$0	$0	$0	$755
Telstra	Super	$54,507	$0	$0	$0	$52
MLC	Super	$500,538	$500,538	$0	$0	$1,045
Tower	Stuart	$0	$0	$0	** $149,136	$3,238
Total Sums Insured		**$1,175,965**	**$500,538**	**$0**	**$149,136**	**$5,090**

** Cover to age 65 against illness and injury after a 30 day waiting period.

Life Insured: Mrs Margo Brown

Product: Underwriter	Policy Owner	Death	TPD	Trauma	Income Protection Per month	Annual Premium
Plum Super	Super	$170,633	$170,633	$0	$0	$256
UniSuper	Super	$41,000	$41,000	$0	$0	$146
Total Sums Insured		**$211,633**	**$211,633**	**$0**	**$0**	**$402**

Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Current Estimated Tax Liability for Stuart

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Salary	$235,035			
Deductions				
Super (15% of $174,100)		$26,115		
Income Protection premium		$3,238		
TAXABLE INCOME			**$205,682**	
TAX PAYABLE				**$67,407**
Medicare Levy				$3,085
NET TAX				**$70,492**

Current Estimated Tax Liability for Margo

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Salary	$46,286			
Deductions				
Employer Super (17% of $39,561)		$6,725		
Salary Sacrifice (8.2% of $39,561)		$3,244		
TAXABLE INCOME			**$36,317**	
Tax payable before rebates/credits				**$4,745**
less Low income tax offset				($1,097)
Medicare Levy				$545
NET TAX				**$4,193**

Current Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Stuart	Margo	Total
Income			
Salary	$235,035	$46,286	$281,321
Sub Total	**$235,035**	**$46,286**	**$281,321**
Less Income Tax	$70,492	$4,193	$74,685
Less Salary Sacrifice	$0	$3,244	$3,244
Less Employer Super	$26,115	$0	$26,115
Less Other deductible expenses	$3,238	$0	$3,238
Net Income	**$135,190**	**$38,849**	**$174,039**
Less Budgeted Expenditure	$50,034	$50,034	$100,068
Less Estimated Mortgage Repayments	$24,500	$24,500	$49,000
Income Surplus	**$60,656**	**($35,685)**	**$24,971**

We have had to estimate a number of the figures used in the above tables, therefore the estimated Cash Flow Surplus may be over or understated. Please notify us if this is the case.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitudes to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined you both have High Growth investor risk profiles.

We discussed the impact of the investment term and how this would impact your investor risk profiles in regards to both superannuation and non-superannuation assets.

Based upon our discussions and your attitudes towards investments, financial markets and risk, it was determined you both best fit the characteristics of a Growth investor.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Growth investor will typically diversify their investment in the following manner:

Australian Shares	45%
International Shares	31%
Fixed Interest	12%
Property	10%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profiles do not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given both of your risk tolerances, while in balance with your goals and objectives.

Note: For more information please refer to the appendices titled – 'Investment Returns and Risks' and 'How Diversifying Reduces Risk'.

Strategy Recommendation

Your Existing Investments

Stuart, you currently have an existing Aviva investment bond that you set up in 2002:

Maturity Date	23/7/2012
Annual Management Fee	2.25%
Initial Investment	$10,000
Current Value (24/3/2010)	$12,932.69

Recommendations

- Stuart, you should redeem this investment after 23/07/2010 and use the proceeds to reduce your non-deductible debt.

Benefits:

- Redeeming your investment and reducing your non-deductible debt will result in an estimated interest saving of:

  $12,900 @ 6.5% = $839 p.a. over 2 years = **$1,677**

- By waiting until the 8th anniversary of the investment term (23/07/2010), the Capital Gains Tax (CGT) liability will be reduced by 1/3rd.

Risks:

- You may be liable for Capital Gains Tax (CGT) upon redemption. We estimate this to be approximately **$580.**

Note: These are estimated figures only.

Gearing Strategy from the equity in your home

Recommendation:

- Upon completion of your renovations, establish a loan facility against your residential home of up to 80% of its value (est. $1,270,000). We estimate this to be around **$1,016,000.**
- As you have an existing debt of approximately $705,000 against your home this leaves an estimated **$311,000** for investment purposes.
- Use $100,000 of the facility to invest in Wholesale Managed Funds (please refer to recommended investment section below).
- The remaining balance is to be used for possible future investment opportunities. Types of investments you have previously mentioned include:
    - Investment Property
    - Direct shares
- We will discuss this further once your U.K. funds have been transferred.

Benefits:

- Interest on borrowings is at normal home loan rates.
- Interest costs associated with this investment strategy are personally tax deductible.
- You are using the equity in your residential home to accumulate wealth.
- There would be no margin calls.
- Your investment into Wholesale Managed Funds will give you further diversification within your portfolio.

Risks:

- The recommended investment's performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Your Finances

Stuart and Margo, you are currently building a residential property in Williamstown which, upon completion you expect to be valued at approximately $1.27 million and have an outstanding debt of $705,000.

Recommendations:

- Troy Starcevich from our Finance Department will provide you with specific finance recommendations when the building is complete.
- We have already recommended that upon completion of your build, you establish a new loan against your home of 80% of its value to fund investments and for tax planning purposes.

Inheritance Funds

Stuart and Margo, you currently have approximately £80,000 ($132,000AUD) in a U.K. bank account and seek guidance with respect to the most appropriate use of these funds. We have therefore documented two scenarios to assist with your decision making:

Scenario 1 – Leave your home loan as it is at present and invest your $132,000AUD inheritance.

Scenario 2 – Use the $132,000 to reduce your non-deductible debt to $573,000 and draw down $132,000 from home equity to invest.

	Home Loan Payment			Investment			Tax Position		Cash Flow
Scenario	**Home Loan**	**Interest Rate**	**Annual Interest Payment**	**Amount**	**Interest Rate**	**Annual Interest Payment**	**Tax Deduc-tion**	**Tax Refund**	**Cost of home loan plus cost of investment less tax refund**
1	$705,000	6.50%	$45,825	$132,000	0%	$0	$0	$0	$45,825
2	**$573,000**	**6.50%**	**$37,245**	**$132,000**	**6.50%**	**$8,580**	**$8,580**	**$3,990**	**$41,835**

One of the fundamental aims of financial planning is to minimise non-deductible debt (bad debt) and ensure any debt is deductible debt (good debt).

Recommendation:

- It is therefore recommended that you use your **£80,000** inheritance to reduce your non-deductible home loan debt.
- Utilise home equity and consider drawing down funds for investment purposes (e.g. the funds may be utilised to assist with the purchase of an investment property which you have expressed interest in exploring).
- Once the funds have been transferred to Australia we will assist you to determine the most appropriate investment vehicle.

Risks:

- By moving the funds to Australia you will potentially be transferring the funds at a time when the exchange rate is unfavourable.

Retirement Planning

Stuart and Margo, we have calculated retirement projections based on an assumed retirement age of 65.

As you have not provided us with a required retirement income amount, we have based our projections on your current annual expenditure without taking into consideration mortgage payments – making the assumption that debt should be paid off by the time you retire. Therefore, the assumed retirement income goal is $100,000 per annum ($50,000 each).

Comment:

- To achieve a combined retirement income of **$100,000** per annum we estimate you will need the following capital amount:
    - Stuart will need around **$681,105** in initial retirement capital at age 65 to generate an income of $50,000 p.a.
    - Margo will need around **$681,105** in initial retirement capital at age 65 to generate an income of $50,000 p.a.
- We estimate that by the time:
    - Stuart is age 65 he will have a conservatively estimated accumulated retirement capital balance of around **$663,707**.
    - Margo is age 65 she will have a conservatively estimated accumulated retirement capital balance of around **$203,126**.
- Based on these figures you currently have a combined retirement capital shortfall of an estimated **$495,377.**
- You will need to consider additional wealth accumulation strategies to help you achieve your capital goal. We will provide ongoing advice to help you achieve this.

Superannuation Funds

Recommendations:

- Stuart, rollover and consolidate your existing Telstra and MLC funds to the recommended wholesale superannuation fund platform. (See Colonial FirstChoice investment recommendation section below.)
- Margo, retain your existing Uni Super Fund in light of the 17% employer contributions able to be achieved whilst with this fund.
- Margo, retain your existing Plum Super Fund as it has a relatively low fee structure and contains Life/TPD cover of $170,633.
- Stuart's portfolio is to be invested according to a sector specific asset allocation that is in line with your investor risk profile. **N.B. Whilst your Risk Profile says 'High Growth' you have stated that you would prefer a 'Growth' portfolio at this stage.**
- All future contributions for Stuart are to be directed to the recommended superannuation fund.

Note: Stuart's superannuation funds will not be rolled over into the recommended superannuation fund platform until appropriate replacement insurances, as recommended by your risk consultant Mark Butler, are in place (please refer to Mark's report in the insurance section of this folder).

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to an anti-detriment payments. This is where the contributions tax you pay on monies contributed may be refunded on the death of a member.
- You will have access to a wide range of investment options with access to more than one specialist manager within each asset class.
- Stuart, as you have over $100,000 in super you can access a wholesale super fund and therefore a larger pool of invested funds and lower fees than would be applicable to a retail fund.
- The recommended (wholesale) fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- Your benefits will be invested within a range of assets and asset classes giving you a well diversified investment portfolio that aims to generate higher levels of growth over the longer term 7+ years.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Risks:

- The recommended investment's performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Replacement of an Existing Product

STUART:

Type of Fee or Cost	MLC Super Fund	Telstra Super Fund	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	$65	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	$49 p.a.	0.6%	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil	0.75%
Investment Costs - Current – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.7996%	0.49%	1.08%
Annual average cost - Total $137,741 investment	$2,527 p.a.	$1,501 p.a.	$2,520 p.a.
Investment Costs – Relevant to Your Risk Profile	Same as above	Same as above	Same as above
Annual average cost – Relevant to Your Risk Profile (on same balance as above)	Same as above	Same as above	Same as above
Amount of Insurance Cover – Life, TPD and Income Protection held inside super	$500,538 Life/TPD	$54,507 Life cover	n/a
Cost of above insurance cover per annum.	$1,045 p.a.	$52 p.a.	n/a

The investment cost will vary depending on which fund you are invested in, the assets it invests into and how actively they manage their portfolios, amongst other things. Typically these costs should not be compared directly.

Outcomes Post Recommendation:

- You will gain access to a diversified portfolio of funds that matches your investor risk profile and investment objectives.

The investments we have selected for you mean that you are better diversified and your asset allocation is more in line with your investor risk profile. On our analysis this should position you for better long term returns.

Salary Sacrifice to Superannuation

- Margo, you are currently Salary Sacrificing 8.2% into your UniSuper fund, which equates to 7% after contributions tax.
- Stuart, you are already receiving the maximum concessional contributions based on the contribution limits (see next page).

Recommendation:

- Margo, you are to maintain this current salary sacrifice arrangement with your employer.
- Stuart, ensure that you do not breach the concessional contribution cap as detailed on the following page.

Benefits:

- By salary sacrificing, you are building your superannuation benefits at an increased level, resulting in achieving your retirement capital goals sooner.
- Stuart and Margo will also receive a reduction in Taxable Income for the contributions that you make
- Superannuation contributions are concessionally taxed at a maximum of 15% as opposed to marginal tax rates of up to 46.5%.

Risks:

- All superannuation contributions are considered preserved benefits until a condition of release is satisfied, and only then may your superannuation benefits be accessed.
- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT: It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self employed contributions such as salary sacrifice, superannuation guarantee, and personal concessional contributions.

Date	Limit (per annum)			
	Age 35-49	Age 50 to 64	Age 65 to 74*	Age75 and over
From 1 July 2009	$25,000	**$50,000**	$50,000	Cannot contribute

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.
Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

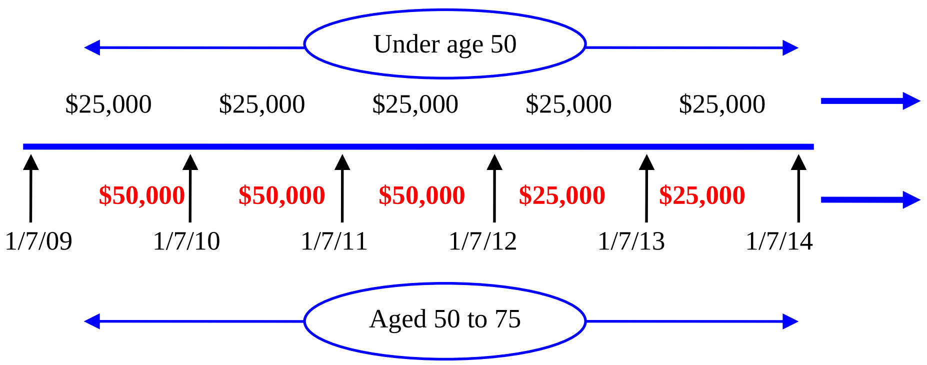
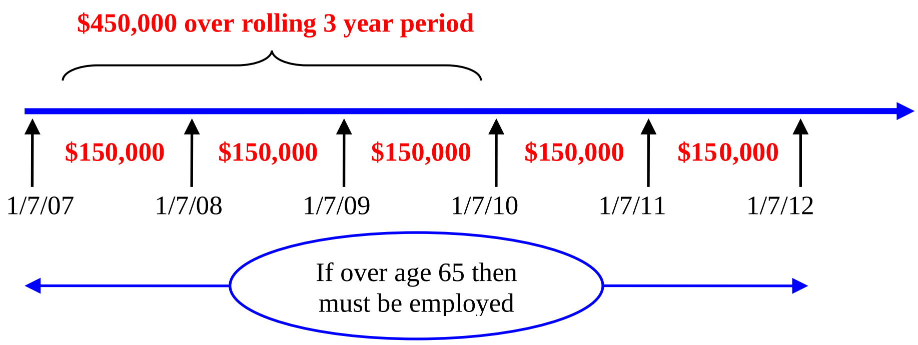


Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed*	Can not contribute



The Government Co-contribution

The Government Co-contribution scheme was introduced to encourage low-to-middle income earners to save for their retirement. Under this scheme the government will pay contributions to superannuation for individuals who meet certain criteria (See General information on superannuation Appendix for specific eligibility criteria).

If a person earns less than $31,920 per annum, personal contributions will be matched by the government with $1 for every $1 contributed up to a maximum of $1,000. If a person earns between $31,920 per annum and $61,920 per annum, they will be entitled to a reduced co-contribution amount.

The Government co-contribution scheme has been extended to include self-employed persons who are less than 71 at the end of the income year, not a temporary resident, earn 10% or more of their total income from running a business in the relevant year.

From 1 July 2009, salary sacrifice contributions will be included as part of your total income when assessing your eligibility for the co-contribution.

Note: Any personal contributions that you choose to claim as a tax deduction will not qualify for co-contribution purposes.

Recommendation:

- Margo, as you are currently earning $46,286 per annum, make a non-concessional contribution to your superannuation of $521 this financial year.

Benefits:

- Based on your current income, you will be eligible for a government co-contribution benefit of **$521**.
- By applying for the co-contribution you are effectively having the government help you to save for your retirement.
- The maximum benefit is in effect a 100% return on your investment.

Risks:

- All superannuation contributions are considered preserved benefits until a condition of release is satisfied, and only then may your superannuation benefits be accessed.
- Superannuation benefits are subject to market returns and earning rates are not guaranteed.
- Earnings expectation may not be achieved.

Wealth Accumulation

You have stated that you would like to receive advice as to an investment portfolio that meets your goals of tax effectiveness, aimed at wealth accumulation.

The recommendation below of managed fund investments achieves these goals as:

- The interest payable is tax deductible.
- The investment has an unfixed term, therefore adding flexibility in realising capital gains.
- The investment has unlimited upside in relation to income and capital gain.

Wholesale Managed Fund Portfolio

Recommendation:

- Stuart, once your property construction is complete and the appropriate facility is in place, draw down **$100,000** from the loan facility created and use the proceeds to invest into a diversified portfolio of Wholesale Managed Funds. (Please refer to recommended investment on page 32)
- The portfolio is to be held for the longer term.
- All dividends will be reinvested to provide further capital growth (compounding effect).
- When the investment is redeemed, the net proceeds are to be deposited into your offset account. These funds can be used to fund further investments/further repayments of non-deductible debt.

Benefits:

- You are diversifying your investments across more than one asset class. This will help reduce the volatility of your portfolio and, using history as a guide, will increase your net wealth over time.
- Borrowing to invest has made it possible to gain access to more growth assets at a low net cost which will help meet your future planned expenditure.
- The interest payments on the loan amount are 100% tax deductible.
- It compliments the other parts of this strategy as it further diversifies your portfolio through exposure to a wider range of asset classes including Australian and International Equities and Property Securities.
- **By having the investment owned in Stuart's name (based on the fact that you are in a higher tax bracket than Margo), this will provide a greater advantage with respect to the interest deduction.**
- **Deductible interest based on a rate of 6.5% will be $6,500 p.a.**

Risks:

- Performance of this investment is not guaranteed.
- Withdrawing capital if investments are showing paper losses with generate a capital loss.
- A gearing strategy has the potential to magnify both gains and losses as a result of using borrowed funds to invest.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression "Estate planning" represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However we outline below some of the issues you both should consider in designing your estate plans.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You have advised us that you both have a Will, but they do not have testamentary trust provisions.

Recommendation:

- **We have an arrangement with Lakeside Legal Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Wills:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Nominates assets to be held in trust for beneficiaries under 18 years of age. For example, you can provide funds for your children's or grandchildren's education.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Wills incorporate a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This way, each of your primary beneficiaries (e.g. your children) could be the trustee of their own individual testamentary trust which would allow them to control the distribution of capital and income to themselves, or amongst a range of secondary beneficiaries (e.g. the primary beneficiary's spouse and children).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Legal Pty Ltd who will be able to assist you both with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

You have advised us that neither of you Medical and Financial Powers of Attorney.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Legal Pty Ltd who will be able to assist you with this.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 - The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.

Guardianship of Your Children

This is a very important issue that needs to be addressed. As you have young children, your Will needs to incorporate Guardianship provisions in case the unthinkable happens and you both die while the children are still minors.

Not only does your Will need to cover this issue, but you need to discuss the Guardianship issue with the proposed Guardian/s to make certain they are happy to take on the enormous task of raising your children. In addition they should be made aware of the financial provisions that will be made available to fund the children's upbringing.

Risk Management

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

I recommend a review of your current Personal Risk Insurances.

In Particular:

- Income Protection
- Life Insurance
- Total and Permanent Disability Insurance
- Trauma Insurance

Existing Cover Amounts

Stuart presently has:

Life Insurance:	$1,175,965	
TPD:	$500,538	
Trauma:	$0	
Income Protection:	$149,136	per annum

Margo presently has:

Life Insurance:	$211,633
TPD:	$211,633

Lump Sum Cover

A review of Death, TPD and Trauma Cover is important given you are going to have debts of approximately $705,000 and also two dependant children aged 11, and 1.

Income Protection

Income Protection is critical in ensuring continuity of lifestyle in the event of not being able to work due to accident or illness.

Indicative Costs

Mark Butler has prepared a Risk Report in the Risk Insurance section of this folder. This report includes indicative costs with regard to the types of cover mentioned above.

Investment Recommendations

After considering your investment profile, your financial objectives, the current economy and economic trends, we recommend that your funds be invested in the following manner.

Current Portfolio

ASSETS

Lifestyle Assets	Value
Residential Home	$1,270,000
Home Contents	$55,000
Motor Vehicles	$25,000
Total Lifestyle Assets	**$1,350,000**

Investment Assets	
Shares	$43,000
Managed Funds	$12,000
Cash	$132,000
Total Investment Assets	**$187,000**

Superannuation Assets	
Stuart	
Telstra Super	$83,618
MLC	$54,123
Margo	
UniSuper (Accumulation)	$8,952
UniSuper (Defined Benefit)	$1,043
Plum Super	$40,620
Total Superannuation Assets	**$188,356**

Total ASSETS	**$1,725,356**

LIABILITIES

Personal Loans	
Residential Home	$705,000
Total Personal Loans	**$705,000**

Total LIABILITIES	**$705,000**

NET WORTH	**$1,020,356**

Proposed Portfolio

ASSETS

Lifestyle Assets	Value
Residential Home	$1,270,000
Home Contents	$55,000
Motor Vehicles	$25,000
Total Lifestyle Assets	**$1,350,000**

Investment Assets	
Shares	$43,000
Managed Funds	$0
Investment TBA	$132,000
IOOF Portfolio Services	
Orion Australian Share	*$12,000*
Investors Mutual Industrial Share	*$12,000*
Ausbil Australian Active Equity Fund	*$11,000*
Blend Australian Smaller Companies	*$10,000*
Lazard Global Small Cap.	*$5,000*
AXA Bernstein Global Equity Value	*$8,000*
Walter Scott Global Equity	*$8,000*
Platinum International	*$10,000*
RREEF Paladin Property Securities	*$5,000*
SGH LaSalle Global List Property Sec	*$5,000*
PIMCO Diversified Fixed Interest	*$4,000*
UBS Hybrid Income	*$4,000*
PIMCO Global Credit	*$4,000*
UBS Credit Enhanced Cash	*$2,000*
Sub Total	*$100,000*
Total Investment Assets	**$275,000**

Superannuation Assets	Value
Stuart	
Telstra Super	$0
MLC Super	$0
Colonial First State Wholesale Super	
BT Wholesale Core Australian Share	*$24,793*
Schroder Wholesale Australian Equity	*$21,763*
Acadian Wholesale Australian Equity	*$15,427*
BT Wholesale Core Global Share	*$15,014*
AXA Wholesale Global Equity - Value	*$8,540*
MFS Wholesale Global Equity	*$12,810*
Platinum Wholesale International	*$6,336*
CFS Wholesale Property Securities	*$4,821*
RREEF Wholesale Property Securities	*$4,821*
CFS WS Colliers Global Property Securities	*$4,132*
CFC Wholesale Fixed Interest	*$16,529*
CFS Wholesale Cash	*$2,755*

Margo	
UniSuper (Accumulation)	$8,952
UniSuper (Defined Benefit)	$1,043
Plum Super	$40,620
Total Superannuation Assets	**$188,356**

Total ASSETS	**$1,813,356**

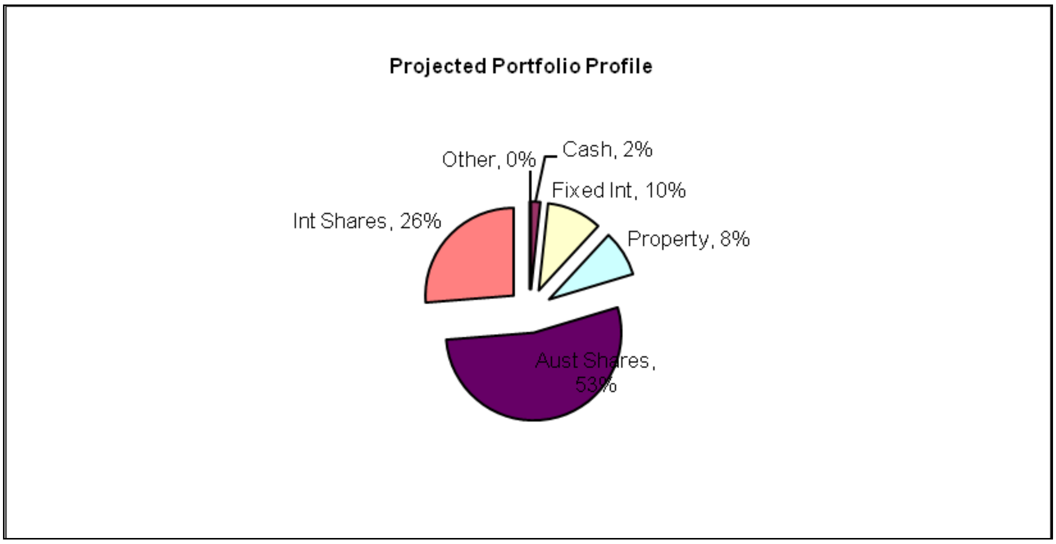
LIABILITIES

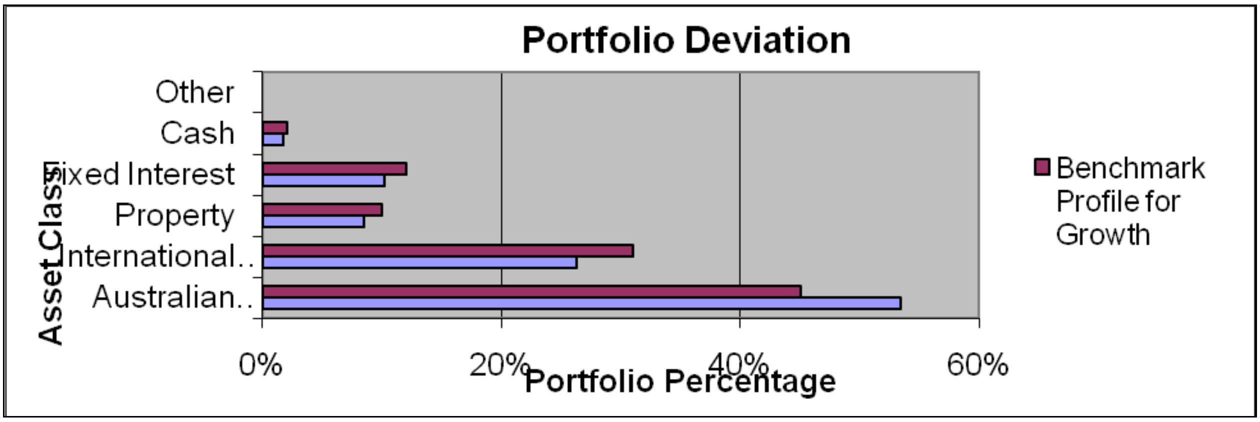
Personal Loans	
Residential Home	$573,000
Investment Loans	$232,000
Total Personal Loans	**$805,000**

NET WORTH	**$1,008,356**

Projected Portfolio Profile Compared to Benchmark

Asset Class	Projected Portfolio	Benchmark Profile for Growth	Deviation
Australian Shares	53%	45%	8%
International Shares	26%	31%	-5%
Property	8%	10%	-2%
Fixed Interest	10%	12%	-2%
Cash	2%	2%	0%
Other	0%	0%	0%





As an industry standard, a variance of 10% within a particular asset class is allowed to cater for individual circumstances, economic events and fund manager asset allocation decisions. Variations outside of this range may be appropriate in certain circumstances.

This said, considering our recommendation puts your deviation away from the standard in some assets, I have included a commentary for the reasons surrounding this:

- The asset allocation noted above falls outside the Investor profile guidelines for a Growth Investor. This is in large part due to the fact that you also own Australian shares outside of the recommendations above.

Colonial FirstChoice Wholesale Investments

The FirstChoice Wholesale Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

The minimum initial investment the Colonial FirstChoice Wholesale Investments Plan accepts is $100,000. There is no minimum additional investment amount required, however minimum regular investment and withdrawals are set at $500. Regular payments can also be made by BPay. You can then monitor and manage your investments over the Internet, by phone or through your financial adviser.

Reasons and Benefits

The major features of the Colonial FirstChoice Wholesale Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee to cover upfront costs.
- An ongoing management fee ranging from 0.31% p.a. to 2.96% p.a. applies, depending on investment options chosen. This fee is all inclusive, covering Colonial First State's administration fee and investment management fee. **No ongoing remuneration is paid to Guardian Financial Planning out of this fee.**
- The weighted average management fee for the Colonial FirstChoice Wholesale Investments Plan is 1.11% for Growth, 1.37 for High Growth and 1.2% for Gearing.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
    - Our normal 0.75% p.a. Adviser Service fee will apply.
- No switching fees or exit fees apply to this investment.
- Within the Wholesale Investment plan a buy-sell spread of between 0 – 0.55% applies depending on investment option. Please refer to the Product Disclosure Statement for details.

IOOF Portfolio Services

IOOF Portfolio Services is a portfolio management service, which will administer your investment portfolio on your behalf. This investment vehicle allows you to invest in a portfolio of managed funds under one umbrella.

As part of the portfolio management service your adviser will be able to access up to date information, administer your portfolio and electronically transact on your portfolio (with your authorisation). In addition you can also view information on your portfolio balance and monitor your investment transactions and holdings via the telephone or Internet service. These services are available 24 hours a day, 7 days a week.

IOOF Portfolio Services also offers superior reporting by providing consolidated tax and investment reports. This assists your adviser in performing ongoing reviews and you when it comes to preparing tax returns with your accountant.

- IOOF Portfolio Services is offered by IOOF, operating in over 20 countries. IOOF is a professional platform provider, and 100% of their funds are managed by outside managers, making them completely objective in their fund manager selections.

- **IOOF Portfolio Services**

The total fees you will pay in relation to our advice and its implementation will be made up of our financial adviser fees and the cost of IOOF Portfolio Services.

The fees are outlined in detail in the IOOF Portfolio Services Product Disclosure Statement provided to you with this report. These fees are charged by the service provider to cover the administration costs of delivering the service to you. If you are unclear about the fees charged by the service please speak with us for clarification.

- **Standard fees**

Type of fee	Amount
Entry fee	Nil
Exit Fee	Nil
Management Fee	This is payable in respect of each investment option you select. Please refer to the table below.

- **IOOF Portfolio Services Management Fee**

IOOF charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds and the advisers trail fee. The Management Fee is calculated on the value of your total portfolio.
Based on your current portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds and the advisers trail fee. Based on your current portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstState FirstChoice Investments	**MER %**	**Amount invested ❶ $**	**Estimated fee $**
BT Wholesale Core Australian Share	1.01%	$24,793	$250
Schroder Wholesale Australian Equity	1.02%	$21,763	$222
Acadian Wholesale Australian Equity	1.21%	$15,427	$187
BT Wholesale Core Global Share	1.32%	$15,014	$198
AXA Wholesale Global Equity - Value	1.27%	$8,540	$108
MFS Wholesale Global Equity	1.21%	$12,810	$155
Platinum Wholesale International	1.82%	$6,336	$115
CFS Wholesale Property Securities	0.82%	$4,821	$40
RREEF Wholesale Property Securities	0.82%	$4,821	$40
CFS WS Colliers Global Property Securities	1.03%	$4,132	$43
CFC Wholesale Fixed Interest	0.75%	$16,529	$124
CFS Wholesale Cash	0.40%	$2,755	$11
Total ongoing fees ❷	**1.08%**	**$137,741**	**$1,493**

❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used you current portfolio to estimate your annual ongoing fee.

❷ From the Ongoing Management Fee your adviser will receive trail commissions from the fees you pay to Colonial FirstChoice. This ongoing trail will total 0.60% p.a.

Please note that there is an additional adviser service fee of 0.75% that is paid by you.

Additional details of the above fees are outlined in the Colonial's Product Disclosure Statement.

IOOF Portfolio Services Management Fee

Colonial FirstState FirstChoice Investments	MER %	Amount invested ❶ $	Estimated fee $
Orion Australian Share	2.05%	$12,000	$246
Investors Mutual Industrial Share	2.10%	$12,000	$252
Ausbil Australian Active Equity Fund	1.95%	$11,000	$215
Blend Australian Smaller Companies	2.25%	$10,000	$225
Lazard Global Small Cap.	2.15%	$5,000	$108
AXA Bernstein Global Equity Value	2.15%	$8,000	$172
Walter Scott Global Equity	2.40%	$8,000	$192
Platinum International	2.75%	$10,000	$275
RREEF Paladin Property Securities	1.85%	$5,000	$93
SGH LaSalle Global List Property Sec	2.10%	$5,000	$105
PIMCO Diversified Fixed Interest	1.65%	$4,000	$66
UBS Hybrid Income	1.90%	$4,000	$76
PIMCO Global Credit	1.75%	$4,000	$70
UBS Credit Enhanced Cash	1.50%	$2,000	$30
Total ongoing fees ❷	**2.12%**	**$100,000**	**$2,124**

Your Growth Portfolio

Your investment objective is to achieve capital growth over the long term. Growth investors seek growth on capital with little demand placed on income from the investment portfolio. Generally growth investors can tolerate a high level of capital volatility, in anticipation of higher returns over the longer term. Such a portfolio is suitable for investors with a minimum investment timeframe of at least 5 years.

- The defensive component of the growth portfolio was constructed to lower the risk of the overall portfolio by providing some diversification of asset classes. The funds that were chosen were those that exhibited lower correlations to equities and low overall volatility.
- The **CFS FirstChoice Fixed Interest Fund** is a multi-manager fund investing in a range of sub-managers. The fund has exposure to a range of passive and active Australian and international fixed interest strategies that invest across a variety of the sub-sectors of fixed interest including Australian and international government bonds, Australian hybrid securities, structured credit and emerging market debt.
- The **CFS Colliers Global Property Securities Fund** was chosen to give exposure to listed property markets globally. The CFS Colliers Global Property Securities Fund is a relatively diversified portfolio in terms of stock numbers and geographic exposure. The different pattern of returns provided by a global portfolio of property securities can enhance returns for an Australian investor's portfolio while reducing volatility, essentially by spreading investment risk.
- The **CFS Property Securities Fund** and the **RREEF Property Securities Fund** invest into the Australian listed property trusts (LPT) sector. Both funds offer a diversified exposure to the Australian LPT market and should provide a relatively high yield.
- The Australian equity managers have been selected because they complement each other and provide diversification through market cycles. All managers chosen are active managers who are expected to add value above the benchmark over the appropriate time horizon. The **Acadian Australian Equity Fund** is managed by Acadian Asset Management. Acadian is a quantitative 'value' style manager and will tend to perform more strongly in falling equities markets. The **Schroder Australian Equity Fund** is managed by Schroder Investment Management. Schroder is a 'growth' style manager that will tend to perform more strongly in upwards equities markets. The **BT Core Australian Share Fund** is managed by BT Investment Management. BT is a style neutral manager which will tend to perform fairly well across most market conditions.
- The international equity managers have been selected because they complement each other and provide diversification through market cycles. All managers chosen are active managers which are expected to add value over time. Note that, because these managers are very active, they can go through short to medium term periods of underperforming the wider market. The **AXA Global Equity Growth** is a 'growth' style fund managed by Alliance Capital that will focus on identifying companies with the potential to provide strong capital growth. The **BT Wholesale International Shares Trust** is managed by AQR Capital Management. AQR is a 'style neutral' quantitative manager which will tend to perform well across a range of market conditions. The **AXA Global Equity Value Fund** is a 'value' style fund managed by Bernstein Investment Management and will tend to perform more strongly in falling equities markets. The **Platinum International** Fund is a 'value' style manager that is considered to have an absolute return focus. The fund manager will tend to perform significantly different from the benchmark due to the flexibility and absolute return focus of the fund.

Cash Flow Projections Post Recommendation

Following the implementation of the strategy and investment recommendations within this report, we estimate that your future tax liabilities and cash flow to be as follows.

Estimated Tax Liability for Stuart

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Salary	$235,035			
Deductions				
Super (15% of $174,100)		$26,115		
Income Protection premium		$3,238		
Int. Deduction on managed fund loan		$6,500		
Int. Deduction on Investment TBC		$8,580		
TAXABLE INCOME			**$190,602**	
TAX PAYABLE				**$60,621**
Medicare Levy				$2,859
NET TAX				**$63,480**

Estimated Tax Liability for Margo

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Salary	$46,286			
Deductions				
Employer Super (17% of $39,561)		$6,725		
Salary Sacrifice (8.2% of $39,561)		$3,244		
TAXABLE INCOME			**$36,317**	
Tax payable before rebates/credits				**$4,745**
less Low income tax offset				($1,097)
Medicare Levy				$545
NET TAX				**$4,193**

Estimated Cash Flow

Based on your stated income, expenses and current tax position we estimate your cash flow over one whole financial year to be as follows.

	Stuart	Margo	Total
Income			
Salary	$235,035	$46,286	$281,321
Sub Total	**$235,035**	**$46,286**	**$281,321**
Less Income Tax	$63,480	$4,193	$67,673
Less Salary Sacrifice	$0	$3,244	$3,244
Less Employer Super	$26,115	$0	$26,115
Less Other deductible expenses	$18,318	$0	$18,318
Net Income	**$127,122**	**$38,849**	**$165,971**
Less Budgeted Expenditure	$50,034	$50,034	$100,068
Less Mortgage Repayments	$24,500	$24,500	$49,000
Income Surplus	**$52,588**	**($35,685)**	**$16,903**

We have had to estimate a number of the figures used in the above tables, therefore the estimated Cash Flow Surplus may be over or understated.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $3,850 (inclusive of GST), which will be deducted from your superannuation fund.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Guardianfp Limited, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Commission Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	**Amount Invested**			**Initial**		**Ongoing***	
		(%)	**($)**	**(%)**	**($)**	**(%)**	**($)**
IOOF Portfolio Services	$100,000	Flat Fee	$0	Flat Fee	$0	0.75	$750
Colonial FC Wholesale Personal Super	$137,741	Flat Fee	$3,850	Flat Fee	$3,500	0.75	$1,033
Total	**$237,741**		**$3,850**		**$3,500**		**$1,783**

My associates and I will receive 100% of the commission disclosed above, as a flat annual fee is paid to Guardianfp Limited.

* The ongoing investment amount has been annualised to provide you with a clear picture of how commission and fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

Ongoing commission is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management.

Ongoing Commission is an additional adviser service fee paid by you from your fund balance.

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.
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Insurance Products

I can recommend policies from a list of insurance companies and their products that are currently researched by Rice Walker Research.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

I have included financial projections (please refer to the Appendix) to illustrate key aspects of my advice to you, however, they are assumptions and estimations only, and they are not guaranteed to occur over the timeframe of the SoA-contained projections.

Is Your Personal Information Protected?

We may be required from time to time, to disclose information about you to representatives of Guardian Financial Planning, and other companies within the Promina Group and to other professionals, insurance providers, superannuation trustees, regulators and product issuers in order to provide our services and arrange for the issue of Financial Products.

Please ensure you have read the 'How we handle your Personal Information' section of the Financial Services Guide (FSG) for more information.

Summary

Plan Implementation

Stuart and Margo, you have taken another next step to reach your personal and financial goals and objectives. The most important stage of the process is to put the plan into action. There are a number of steps required for the implementation of this plan:

Action	Anticipated Start Date	Estimated Completion Date	Responsibility
Detailed review of the recommendations	26 March 2010	2 April 2010	Stuart, Margo
Authority to Proceed returned with any amendments	-	5 April 2010	Stuart, Margo
Applications returned	-	5 April 2010	Stuart, Margo
New Super Fund Application Process	5 April 2010	29 April 2010	Nick Quinn
Consolidate superannuation accounts	5 April 2010	25 May 2010	Nick Quinn
Notify Payroll/Stuart of new contribution details		29 April 2010	Stuart, Margo, Nick Quinn
Insurance ‘Online’ application (subject to go ahead)		5 April 2010	Stuart, Margo, Sylvia Dey
Insurance Application Process	5 April 2010	15 May 2010	Stuart, Margo, Mark Butler
Preparation of Wills	5 April 2010	14 June 2010	Lakeside Legal Pty Ltd
Colonial Investment Application Process	April	May	Nick Quinn
Investment placement	April	May	Nick Quinn
Confirmation of all in place	-	4 June 2010	Andrew Lord
Book Post-Implementation / Review Appointment	-	September	Stuart, Margo, Andrew Lord

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Asset allocations for your risk profile are based on directions from Guardian FP in conjunction with research from research house van Eyk;
- Life expectancies from the Australian Life Table 2000/02 have been used where relevant;
- Where applicable Medicare Levy of 1.5% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a default rate of return of 7% on share and managed fund investments. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- 100% franking is assumed on all Australian share distributions at a rate of 70%. An expected dividend yield of 3.5% is used in all income calculations;
- Where estimated tax liability has been calculated involving managed funds, an assessable capital gain of 5% of the portfolio value has been assumed.
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;

Authority to Proceed

I Stuart Brown and I Margo Brown of
44 Twyford Street
Williamstown VIC 3016

State that:

We have read and understood the Financial Plan presented to us by **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) from Guardianfp Ltd trading as Guardian Financial Planning, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Colonial FirstChoice Wholesale Personal Super (Stuart)	$137,741
IOOF Portfolio Services (Stuart)	$100,000

All fees and charges have been explained to us.

We authorise **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding these investments and to act on our instructions provided by (tick whichever is applicable):

- ❑ Facsimile
- ❑ Email
- ❑ Writing

We acknowledge that:

- We have received and read a Financial Services Guide.
- We have provided all information to the best of our knowledge for the preparation of this Statement of Advice.
- Our adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.

❑ We accept the recommendations made in this Report and give authority to Guardianfp Ltd ABN 40 003 677 334 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: ______________________________ ______/______/______
Stuart Brown Date

Signed: ______________________________ ______/______/______
Margo Brown Date

Signed: ______________________________ ______/______/______
Andrew Lord Date
B Bus (Acc), Dip FS (Fin Plan)